

US tariff war could roil financial, real markets

US President Donald Trump made his policy intentions **abundantly** clear on Tuesday in his State of the Union speech. He is now **stirring so many pots** so **vigorously** that the world is in a **state** of **bemused bewilderment**. Close **scrutiny** of Trump's actions **reveals** both a well thought out approach and a **cavalier disregard** for consequences. Thus, on the question of US global power, he is quite clear that it should be a **multipolar** world where it's not America alone that **bears the brunt of** the costs and the **opprobrium**. Such **multipolarity** will give India a bigger voice in global affairs.

Trump is also for low and **stable** global energy prices which no one can object to. His methods for achieving that goal might well raise some **hackles**. India will be a major beneficiary. On tariffs, however, he is **dead wrong**. Higher all-round tariffs will only **lead to** a global **compression** of economic activity. There is enough evidence of this **throughout** history and most recently in 1930 when the Smoot-Hawley Tariffs Act **eventually** brought on the Great Depression. Trump is **taking refuge** behind what's called the 'fairness **proposition**' that he is doing only what the others are doing. That **sounds** fair except that it will be **unpredictable** in its consequences just as it was in the 1930s.

Trump is also wrong in confusing a **manageable deficit** with a balanced budget, that is, a zero deficit. The world of economics has not forgotten that **one** of the most **potent** economic ideas to come out of the Great Depression **was** the Keynesian idea of the government **undertaking deficit financing in order to** boost aggregate demand when it was **deficient** over a long period of time. A **downturn** in global trade **will** lead to deficient aggregate demand but if Trump **insists on** a balanced budget, there will be no policy tool to increase it. The overall consequence will be a huge global depression that **engulfs** the product, financial and labour markets. It must not be forgotten that it was only the Second World War that finally gave a boost to aggregate demand.

There is then the **overarching** question of a global reserve currency. Until 1945 it was the **pound sterling**. But the pound was so weakened by the Great Depression and the War that the dollar quickly replaced it. Trump must pause and **reflect on** whether he wants the dollar to lose its position of **pre-eminence**, as new trading **blocs come into existence**. The **uncertainty** surrounding this issue **is** already leading to a **surge** in gold prices. India is **unlikely** to emerge **unscathed** from all this except **perhaps** in the matter of energy prices, which will not **skyrocket**. **In all other respects**, however, it's going to be **worse off** in **varying** degrees, including in the matter of losing its ability to be **ambiguous** in international affairs. It appears to be **pinning its hopes on** a trade agreement with the US. That will allow it to **buy time**. But overall the Indian economy will have to **navigate** very **choppy waters** over the next four or five years which will require **ingenuity** and **sagacity** in **abundance**. **[Practice Exercise]**

- Red/blue coloring of words in the indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Roil** (verb) – Agitate, Disturb, Stir, Upset, Disrupt उत्तेजित करना
2. **Abundantly** (adverb) – Plentifully, Amply, Lavishly, Generously, Profusely प्रचुरता से
3. **Stir pot** (phrase) – Cause trouble, Provoke, Agitate, Instigate, Incite उत्तेजना फैलाना
4. **Vigorously** (adverb) – Energetically, Forcefully, Strongly, Intensely, Actively जोरदार ढंग से
5. **State** (noun) – Condition, Situation, Position, Status, Circumstance स्थिति
6. **Bemused** (adjective) – Confused, Puzzled, Perplexed, Bewildered, Mystified हक्का-बक्का
7. **Bewilderment** (noun) – Confusion, Perplexity, Puzzle, Disorientation, Bafflement हक्काबक्कापन
8. **Scrutiny** (noun) – Examination, Inspection, Analysis, Review, Investigation जांच
9. **Cavalier** (adjective) – Careless, Casual, Nonchalant, Indifferent, Offhand लापरवाह
10. **Disregard** (noun) – Ignorance, Neglect, Indifference, Overlooking, Disrespect उपेक्षा
11. **Multipolar** (adjective) – Diverse, Pluralistic, Decentralized, Balanced, Varied बहुध्रुवीय
12. **Bear the brunt** (phrase) – Suffer the most, Endure, Face, Take the impact, Absorb खामियाजा भुगतना
13. **Opprobrium** (noun) – Disgrace, Shame, Infamy, Disrepute, Scorn अपमान
14. **Multipolarity** (noun) – Diversity, Plurality, Decentralization, Balance, Variety बहुध्रुवीयता
15. **Stable** (adjective) – Steady, Firm, Constant, Balanced, Secure स्थिर
16. **Hackle** (noun) – Anger, Irritation, Annoyance, Resentment, Provocation गुस्सा
17. **Dead-wrong** (adjective) – Completely wrong, Mistaken, Incorrect, Erroneous, Inaccurate पूरी तरह गलत
18. **Lead** (to) (verb) – Cause, Result in, Bring about, Produce, Trigger वजह बनना
19. **Compression** (noun) – Reduction, Contraction, Squeezing, Condensation, Shrinking संपीड़न
20. **Throughout** (preposition) – Across, All over, During, Through, Over पूरे
21. **Eventually** (adverb) – Finally, Ultimately, In time, Sooner or later, At last अंततः
22. **Take refuge** (phrase) – Seek shelter, Find safety, Hide, Escape, Protect शरण लेना

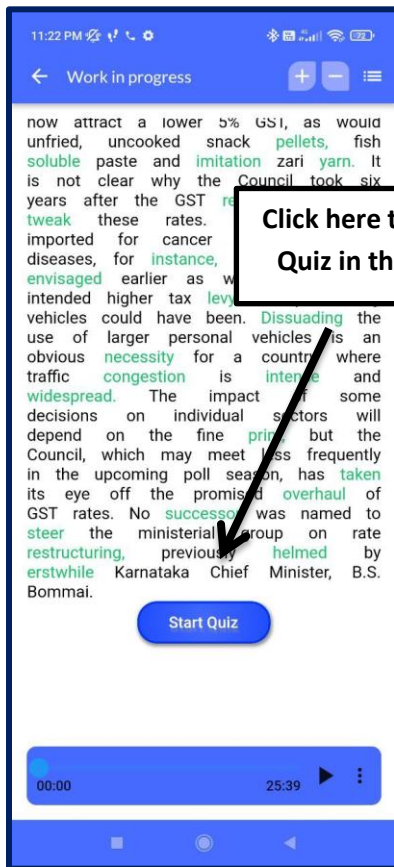
23. **Proposition** (noun) – Proposal, Suggestion, Idea, Plan, Offer प्रस्ताव
24. **Sound** (verb) – Seem, look, appear प्रतीत होना
25. **Unpredictable** (adjective) – Uncertain, Erratic, Unstable, Volatile, Random अप्रत्याशित
26. **Manageable** (adjective) – Controllable, Tolerable, Feasible, Achievable, Easy to handle प्रबंधनीय
27. **Deficit** (noun) – Shortfall, Deficiency, Lack, Shortage, Gap घाटा
28. **Potent** (adjective) – Powerful, Strong, Effective, Influential, Forceful प्रभावशाली
29. **Undertake** (verb) – Take on, Begin, Start, Embark on, Commit शुरू करना
30. **Deficit financing** (noun) – When a government finances expenditures by borrowing money rather than raising taxes घाटे की वित्त व्यवस्था
31. **In order to** (phrase) – To, For the purpose of, So as to, With the aim of, For ताकि
32. **Deficient** (adjective) – Lacking, Insufficient, Inadequate, Short, Scarce कमी वाला
33. **Downturn** (noun) – Decline, Slump, Recession, Slowdown, Drop मंदी
34. **Insist** (on) (verb) – Demand, Persist, Urge, Maintain, Assert जोर देना
35. **Engulf** (verb) – Overwhelm, Swallow, Consume, Envelop, Submerge निगलना
36. **Overarching** (adjective) – Comprehensive, All-encompassing, Broad, Universal, Dominant व्यापक
37. **Pound sterling** (noun) – British currency पाउंड स्टर्लिंग
38. **Reflect** (on) (verb) – Think, Consider, Ponder, Contemplate, Meditate विचार करना
39. **Preeminence** (noun) – Superiority, Dominance, Supremacy, Excellence, Prominence श्रेष्ठता
40. **Bloc** (noun) – Alliance, Coalition, Group, Union, Faction गुट
41. **Come into existence** (phrase) – Emerge, Form, Arise, Begin, Start अस्तित्व में आना
42. **Surge** (noun) – Rise, Increase, Upsurge, Wave, Growth तेजी
43. **Unlikely** (adjective) – Improbable, Doubtful, Unbelievable, Unthinkable, Implausible असंभावित
44. **Unscathed** (adjective) – Unharmful, Unhurt, Uninjured, Safe, Intact सुरक्षित

45. **Perhaps** (adverb) – Maybe, Possibly, Perchance, Conceivably, Potentially शायद
46. **Skyrocket** (verb) – Soar, Surge, Increase rapidly, Shoot up, Escalate तेजी से बढ़ना
47. **In all respects** (phrase) – Completely, Totally, Entirely, Fully, Wholly हर मामले में
48. **Worse off** (phrasal verb) – Poorer, Disadvantaged, Deprived, Suffering, Struggling बदतर स्थिति में
49. **Varying** (adjective) – Different, Diverse, Changing, Fluctuating, Mixed विविध
50. **Ambiguous** (adjective) – Unclear, Vague, Uncertain, Indefinite, Obscure अस्पष्ट
51. **Pin one's hopes on** (phrase) – Rely on, Depend on, Trust, Count on, Bank on आशा रखना
52. **Buy time** (phrase) – to do something that allows you to have more time to finish something
53. **Navigate** (verb) – Steer, Guide, Direct, Maneuver, Pilot मार्गदर्शन करना
54. **Choppy waters** (phrase) – Turbulence, Difficulty, Trouble, Uncertainty, Instability उथल-पुथल
55. **Ingenuity** (noun) – Creativity, Inventiveness, Resourcefulness, Cleverness, Innovation सरलता
56. **Sagacity** (noun) – Wisdom, Intelligence, Insight, Judgement, Prudence बुद्धिमत्ता
57. **Abundance** (noun) – Plenty, Profusion, Wealth, Copiousness, Ample प्रचुरता

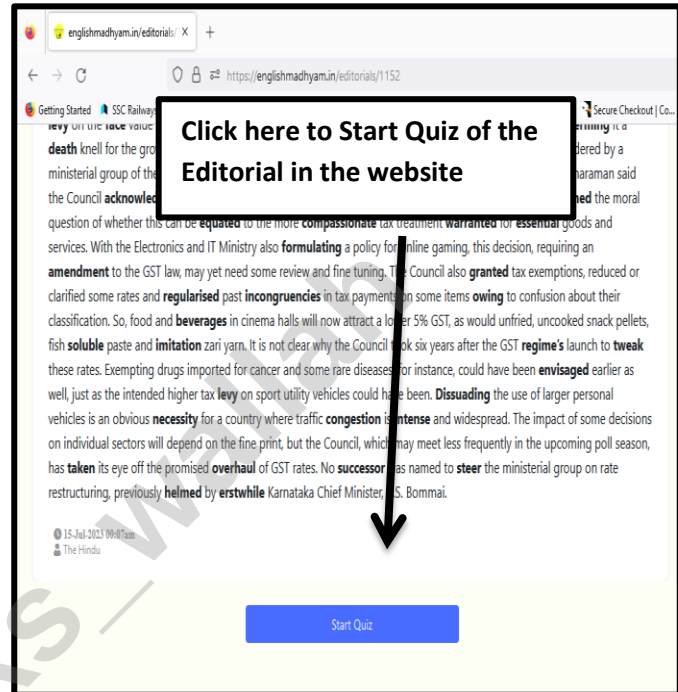
Summary of the Editorial

1. **Trump's Policy Clarity:** In his State of the Union speech, President Trump made his policy intentions clear, stirring global uncertainty with his aggressive actions.
2. **Multipolar World Vision:** Trump advocates for a multipolar world, reducing America's burden in global affairs, which could give India a larger role on the global stage.
3. **Global Energy Prices:** Trump supports low and stable global energy prices, benefiting India, though his methods to achieve this may be controversial.
4. **Tariff Policy Criticized:** Trump's push for higher tariffs is seen as misguided, with historical evidence (e.g., Smoot-Hawley Tariffs Act of 1930) showing such policies can lead to global economic downturns.
5. **Fairness Proposition:** Trump justifies tariffs by claiming fairness, but the unpredictable consequences could mirror the economic chaos of the 1930s.
6. **Misunderstanding Deficits:** Trump's focus on a balanced budget (zero deficit) overlooks the Keynesian principle of deficit financing to boost aggregate demand during economic downturns.
7. **Risk of Global Depression:** A global trade downturn, combined with Trump's insistence on a balanced budget, could lead to a severe global depression affecting product, financial, and labor markets.
8. **Historical Parallels:** The Great Depression and World War II highlight the importance of government intervention to stimulate demand, a lesson Trump seems to ignore.
9. **Global Reserve Currency:** Trump's policies risk undermining the U.S. dollar's dominance as the global reserve currency, especially with the rise of new trading blocs.
10. **Gold Price Surge:** Uncertainty over the dollar's future has already driven up gold prices, reflecting global economic instability.
11. **India's Mixed Prospects:** India may benefit from stable energy prices but faces challenges in other areas, including reduced ambiguity in international affairs.
12. **Trade Agreement Hopes:** India hopes a trade deal with the U.S. will buy time, but the broader economic outlook remains uncertain.
13. **Economic Challenges Ahead:** India's economy will face significant turbulence over the next few years, requiring strategic ingenuity and wisdom to navigate.
14. **Global Economic Compression:** Higher tariffs and trade restrictions could compress global economic activity, leading to widespread negative consequences.
15. **Call for Reflection:** Trump is urged to reconsider his policies to avoid destabilizing the global economy and undermining the dollar's pre-eminence.

Practice Exercise: Banking Pattern Based



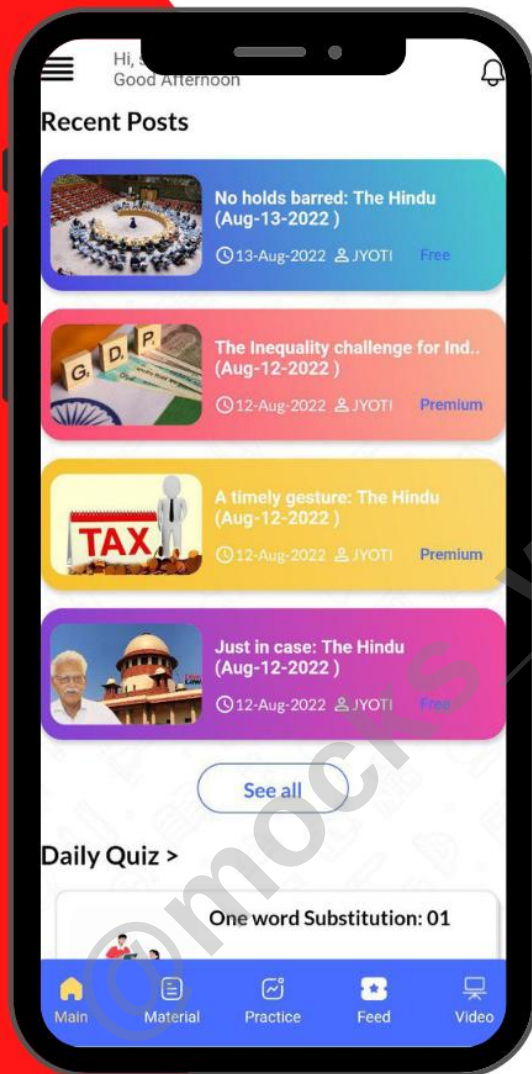
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